

The NFP obsession is a classic case of recency bias, where we pay way too much attention to what just happened while ignoring both the context and the longer-term trend.

A solution for those who do not want to be distracted with this is to consider a moving average. Rather than focus on any one report, what is the three- (or six-) month average of payrolls? Is it expanding, contracting or just staying steadily on course?

The ongoing trend matters—are we creating jobs or losing jobs each month?—and at key turning points in the economic cycle, the shift is meaningful. But the other 98 out of 100 months? The specific number is more or less a rounding error.



Next, we consider how recency bias can prevent us from seeing the impact of gradual but consistent improvements, and why we fail to grasp the power of compounding.

¹⁶⁶ Federal Reserve Bank of St Louis, “All Employees: Total Nonfarm.” Commonly known as Total Nonfarm Payroll, this is a measure of the number of US workers in the economy that excludes proprietors, private household employees, unpaid volunteers, farm employees, and the unincorporated self-employed. This measure accounts for approximately 80% of the workers who contribute to GDP.

¹⁶⁷ Monty Python, “Dead Parrot,” youtu.be/4vuW6tQ0218?feature=shared